Example 46: The Indian bankruptcy reform

When a country embarks on setting up a bankruptcy process for the first time, as India did in 2016, at first the state capacity will be poor. A well-functioning bankruptcy process requires numerous actors to play their role correctly, and at first this ecosystem will not be in place.

Hence, in the early stages of the bankruptcy reform, it is better to carry small bankruptcies through the system. These constitute a smaller load. With larger cases, there will be expensive legal teams in the fray, trying to find any loophole. The collision between high stakes and low state capacity will give poor answers. For this reason, the decision to put twelve large cases into the fledgling Indian bankruptcy process was a problematic one.

Placing a high load of high-stakes cases upon a fledgling bankruptcy process can lead to an organizational rout. Economist Joshua Felman has a good insight on one channel of influence, which runs as follows. [2] The essence of the bankruptcy process is the sanctity of process. The process creates the right incentives, so even if in one case there can be a higher value realization by sacrificing the process, we should still uphold the process.

Early in the life of the bankruptcy reform, judges are themselves relatively unsure about how this works. If a Rs 10 million case appears, it is more likely that a judge will favour the sanctity of process. But if a Rs 1 trillion case appears, and the prevailing jurisprudence is weak, the judge is more likely to say that the process can be overruled as the sums of money to be gained are so large. A few rulings like this can create jurisprudence that permanently hobbles the bankruptcy reform.

Element 4: Manage political economy

Successful reform is about dealing with the allocation of gains and losses, and creating and sustaining winning coalitions. We should think about the